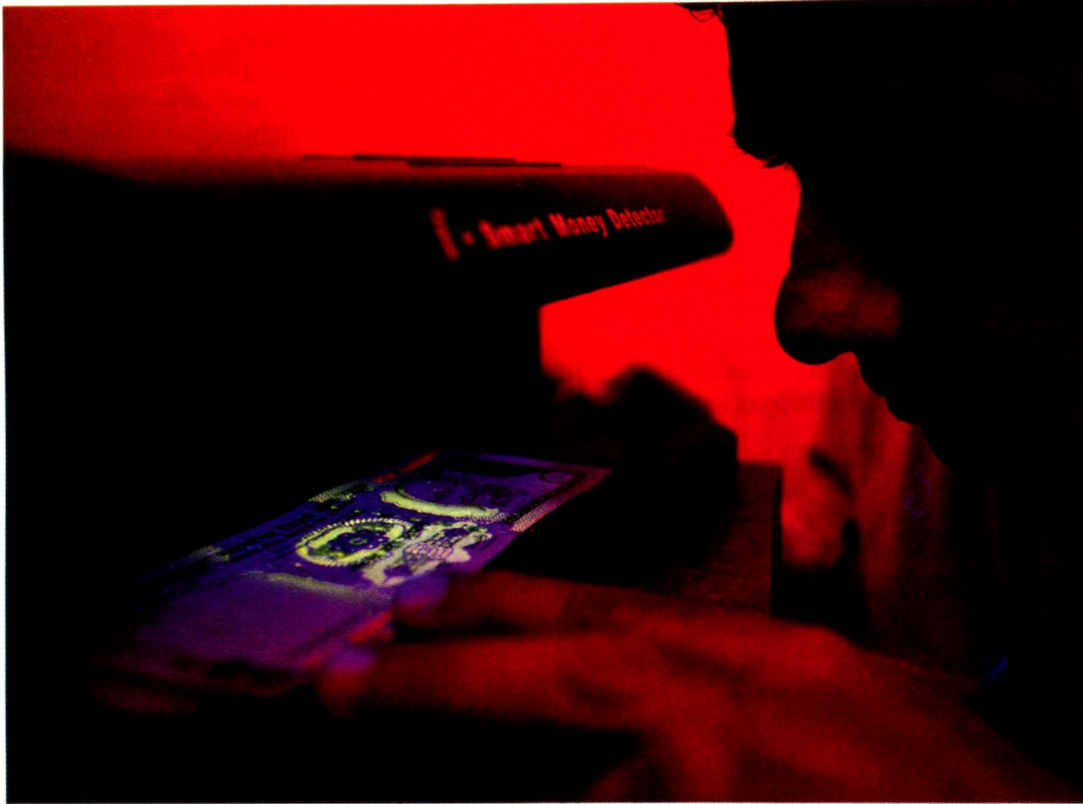


SHRIYA PATIL SHINDE



ULTRAVIOLET MACHINES USED TO DETECT FAKE CURRENCY

Nashik for official certification of their being fake, leading to delays in certification.

It is believed that fake currency is being printed in Muzaffarabad in Pakistan-occupied Kashmir and in some of the government presses in Muner. For Pakistan, it's a cost-effective way and offers a huge margin to its masterminds who, in tandem with the ISI, are also using it as a weapon to weaken India and underwrite the operational expenses of a clandestine network of saboteurs and terrorist organisations active in India. "The dirty money has become a cost effective method to run a larger network of saboteurs and terrorists," says Punjab Police intelligence chief Suresh Arora.

FICN cripples India economically as free flow of counterfeit devalues the country's currency. While intelligence agencies have raised the red flag since 2007, unfortunately the

AS only big city banks have the detection machines, fake notes easily enter the legal system.

banking system and the RBI are doing nothing to prevent fakes from removing fakes from the system. Banks are returning fake currency notes to people rather than reporting it to RBI and the local police. The reason for this is the high rate of incidence. When INDIA TODAY went to deposit a fake currency note with a well-known private bank, the bank staff wrote 'FORGED' on the currency note and returned it because they "did not want to file a case".

While urban private banks are equipped to figure out the fake from the genuine, thanks to detection machines, in many public sector banks in non-metros, it's the staff apathy or connivance that is facilitating



If money supply goes up it can have huge implications for the economy.

The bigger damage is in people's confidence in the currency.

SIDDHARTHA ROY
CHIEF ECONOMIST,
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Intelligence gathering is the key. Once introduced via the black market it is difficult to detect them, thanks to the superior quality.



P.C. PANDEY
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